



Rikhil Sharma <rsharma@theowlfund.com>

THC Major Movement Update (09-Sep-2026)

1 message

Kevin Meneses <kmeneses@theowlfund.com>

Wed, Sep 9, 2026 at 11:55 PM

To: fall2026of@theowlfund.com

Cc: Cindy Axelrod <cindy.axelrod@temple.edu>, Keal Brown <kbrown@theowlfund.com>, Amala Stephen <astephen@theowlfund.com>

Today, shares of Tenet Healthcare Corporation (THC) rose 3.8%, outperforming the SPX, which fell ~48 bps.

Shares rose after THC's commentary in the WFC conference was largely positive. Revenue continues to grow and remains THC's main focus, with USPI being the main catalyst for outpatient growth, operating margins, and high-acuity growth. Management highlighted USPI's reputation in the ASC marketplace, stating that its fundamentals and operations are well-positioned for growth and that USPI is their top priority for shifting to outpatient settings. The Company slightly commented on OBBBA reforms and the IPO phaseout but still believes the growth potential is favorable. HCA Healthcare Inc. (HCA) also participated in the WFC conference and commented positively on a strong demand for hospital services and surgical volumes. This has led to the broader healthcare services market to appreciate.

While we view future healthcare policies as a risk to the broader services industry, we agree that THC is best positioned to grow, given how volumes and procedures have grown in an outpatient setting. We are a **HOLD**.

Best,
The Healthcare Team